

STATISTICS MADE EASY

Impressive statistics are often scattered through an annual report. These examples are from UK utility Wessex Water:

6% post-tax return on capital

- This percentage is estimated by dividing income after tax by the amount of investment. It is useful for showing shareholders the kind of returns they can expect on their investments.

64% gearing

- For most industries, gearing is a company's debt compared to its equity. In the water industry, it compares a company's net debt to its regulatory capital value (the value of the business that earns a return on investment). Gearing is expressed as a percentage. *See pp.174–175.*

A3/A-/BBB+ credit rating

- Credit ratings assess the likelihood that loans will be repaid. A3 and A- fall at the bottom of "strong capacity to meet financial commitments," while BBB+ is at the top of the adequate range. The major ratings companies in the US are Moody's, Standard and Poor's, and Fitch.

Stakeholder



Important parts

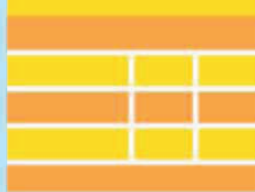
- Taxation
- Independent auditor's report
- Environment section and environment-related notes

Why important?

- To check that the figures are correct and the correct amount of tax has been paid
- To check the audit, and that they are satisfied with the accounts
- To check that environmental laws have been adhered to



Balance sheet



- To see the company's assets and liabilities, and assess its strength
- To decide whether or not it is wise to lend to the company



- Chairman's introduction
- Accounts and notes



- To find elements to quote
- To see how strongly the company has performed
- To analyze why a company has been performing well or poorly, and investigate if they suspect fraud